

Exhaustible resources

Exhaustible resources are those whose stocks are finite, such as coal and oil – with continual use they will run out. Economically, exhaustible resources are like financial assets: one theory says that the profit (price minus cost) of an exhaustible resource should rise at a rate equal to the interest rate. If the profit from oil were to rise slower than this, then oilfield owners would pump and sell their entire stock, putting the revenues into a bank to earn interest. This would reduce today's price so that given future prices, profits would grow again at the rate of interest. Hence, the price of an exhaustible resource should gradually rise as it gets used up. But instead, prices of natural resources have often shown long-term falls.

Commonly, the point at which a resource is going to be used up is unknown, and technological advances that allow for more efficient extraction or use of the resource can push this point further into the future. Perhaps the real unknown, though, is whether such deferral faces an ultimate limit.

